

Updater Services Limited

Company Overview:

Updater Services Limited is a leading, focused, and integrated business services platform in India offering Integrated Facilities Management (IFM) services and Business Support Services (BSS) to the customers, with a pan-India presence. The company is the second largest player in the IFM market in India and has the widest service offering in the industry, making it a unique and differentiated player in the market. Within the BSS segment, the company offers Audit and Assurance services and employee background verification check services through the subsidiary, Matrix. The company through its subsidiaries, Denave and Athena provides sales enablement services. The company also provides mailroom management services through its Subsidiary, Avon.

Key Highlights:

Business segments: The company portfolio of services is classified mainly in two segments i.e. IFM & Other Services and BSS.

Under IFM & Other Services, the company offers services like soft services, production support services, engineering services, washroom and feminine hygiene, washroom management, general staffing, institutional catering, and others.

Under the BSS, the company offers sales enablement services, employee background verification services, audit & assurance services, airport ground handling services, mailroom management & niche logistics solutions.

Diversified customer base: The company offers a wide range of services to various industries like FMCG, manufacturing, banking, healthcare, and more. As of June'23, the company has served 2,797 customers, including notable names like P&G, Microsoft, Hyundai, TCS, and Sony. The company services are tailored to meet specific customer needs, enabling them to capture a larger share of their spending. The company has also received awards for the excellent service, including recognition from Saint-Gobain, Expeditors, and Delhi International Airport Limited.

Pan India Presence: Over the years, the company has grown to become a pan India player, with a widespread network consisting of 4,331 locations (excluding staffing locations) managed from 129 points of presence with 116 offices situated in India and 13 offices situated overseas, as of June'23. The company's widespread network enables to service a large number of customers and render customized services across India where the company is required to provide services as per the specific needs of the customer through a combination of manpower, materials, supervision, technology and economic models.

Valuation: The company is valued at an EV/EBITDA and Adjusted EV/EBITDA multiple of 21.7x and 13.9x respectively, at the upper price band on post-issue capital. With the unique business model that caters to niche markets and strong industry growth for IFM and BSS sectors with CAGR growth of 17%/15% from FY23 to FY28, the company is poised to grow organically under this segment. The company is also looking for inorganic growth through the strategic acquisition of a high-margin business that will supplement the company's operations.

Issue Details	
Date of Opening	25 th September 23
Date of Closing	27 th September 23
Price Band (Rs)	280 – 300
Issue Size (Rs cr)	624 – 640
No. of shares	2,22,85,714 – 2,13,33,333
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	1,894 – 2,001
BRLMs	IIFL Securities, Motilal Oswal, SBI Caps
Registrar	Link Intime India Private Limited
Bid Lot	50 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB (HNI) shares	15%

Objects of Issue	
	(Rs Cr.)
Gross proceeds from fresh issue*	400.0
(less) Estimated Offer related expenses in relation to the Fresh Issue*	-
Net Proceeds**	-

*Offer expenses on Page no 138 of RHP.

**The net proceeds will be utilized for a) Repayment or pre-payment of debt, b) Funding for working capital requirements c) Pursuing inorganic growth initiatives and d) General corporate purpose.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	4,29,98,847	80.6
Public & Others	1,03,70,508	19.4
Total	5,33,69,355	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,89,98,847	57.6
Public & Others	2,86,56,222	42.4
Total	6,76,55,069	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,89,98,847	58.5
Public & Others	2,77,03,841	41.5
Total	6,67,02,688	100.0

Source: RHP, SSL Research

Risk factors

- **Employee:** The company face significant employee related regulatory risks and any significant disputes with the employees and/or concerned regulators may adversely affect the business prospects, cash flows, results of operations and financial condition.
- **Quality of Service:** Operational risks are present in the business as it includes providing services in different business environments. A failure to manage such risks including any errors, defects or disruption in the service or inability to meet expected or agreed service standards, could have an adverse impact on the business, cash flows, results of operations and financial condition.
- **Inorganic growth strategy:** The company proposes to utilize a portion of the Net Proceeds to undertake acquisitions for which targets have not been identified. Any inability to complete such transactions may adversely affect the competitiveness and growth prospects.
- **Debtors:** The company's customers may delay or default in making payments for services rendered by the company. If the company is unable to collect the receivables from the customers, profits, cash flows and liquidity could be adversely affected.

Growth strategy

- **Increase in wallet share from existing customers and addition of new customers:** Retain, strengthen and grow customer base with a focus on deepening relationships with existing customers.
- **Market Share:** Growing market share in key segments through (a) existing customer mining and (b) business development using strong sales and marketing team.
- **New Products/Services:** Introduce new products and services catering to existing and new customer segments.
- **Inorganic Growth Strategy:** Pursue inorganic growth through strategic acquisitions of high-margin businesses supplemental to the operations.
- **Focus on expansion of margins:** Continue to improve margins by changing business mix, improving operating leverage, and using technology to improve service delivery.

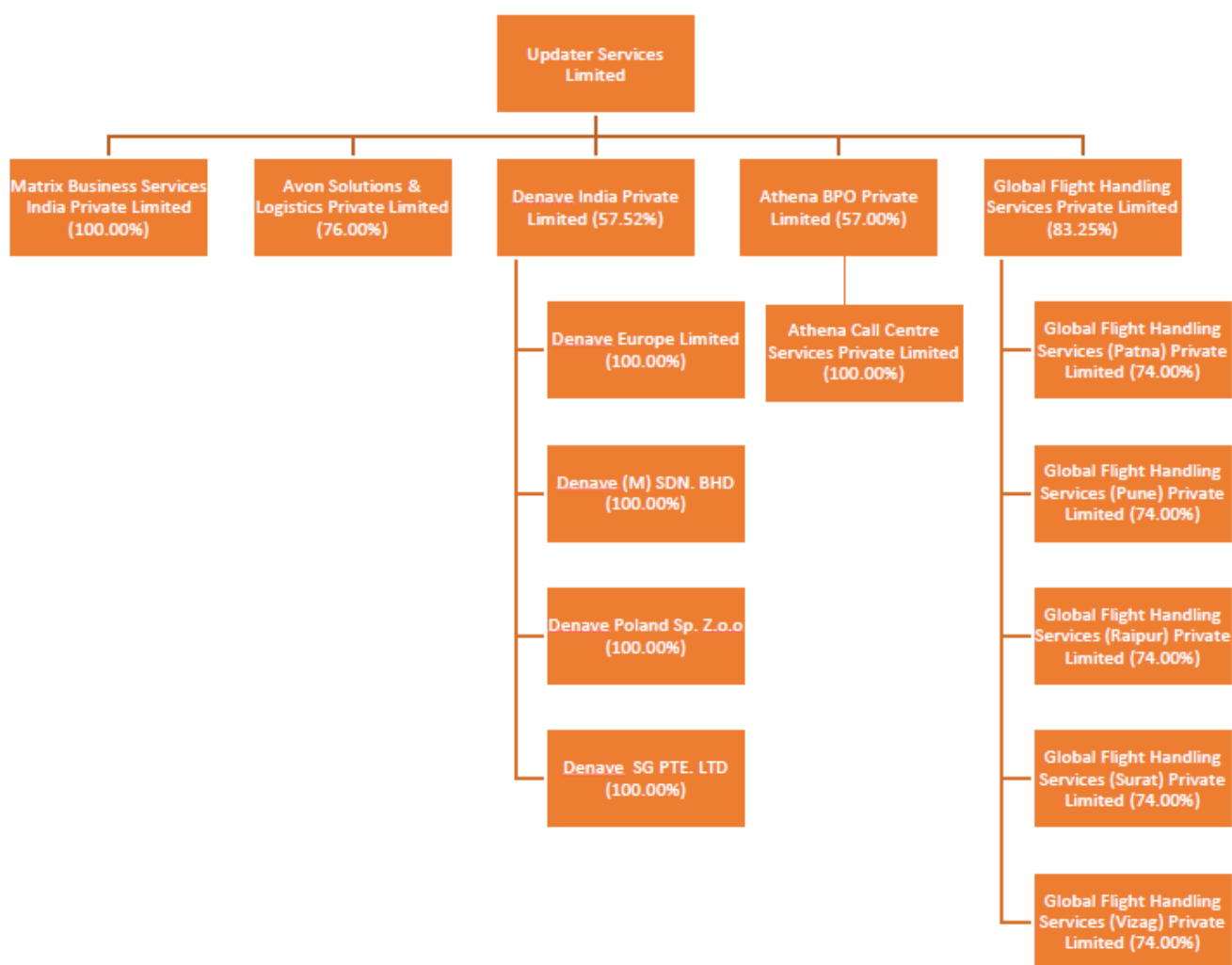
Segment-Wise Revenue Break-up

Values in Rs. Cr.	FY21		FY22		FY23	
	Revenue	% of revenue	Revenue	% of revenue	Revenue	% of revenue
Integrated Facility Management Services	1,122.0	90.4%	1,218.3	79.7%	1,536.7	71.5%
Business Support Services	118.6	9.6%	311.3	20.4%	612.1	28.5%
Total segment revenue	1,240.6	100.0%	1,529.5	100.0%	2,148.8	100.0%

Source: RHP, SSL Research

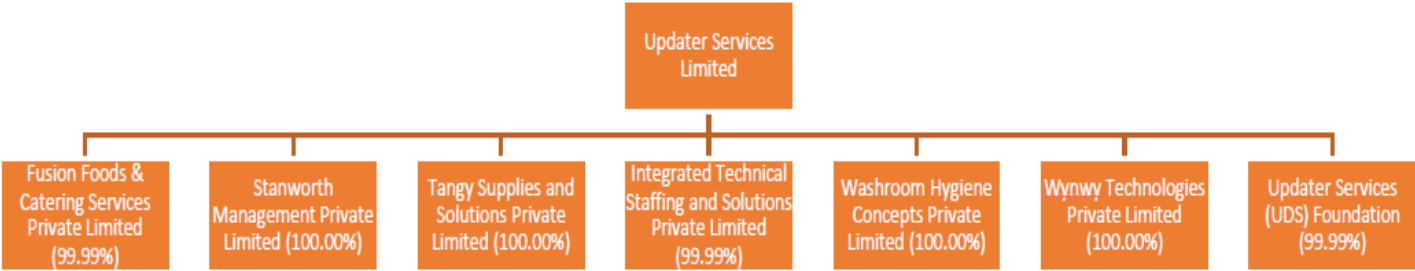
Organization Structure

Organization Structure Specific to Business Support Services



Source: RHP, SSL Research

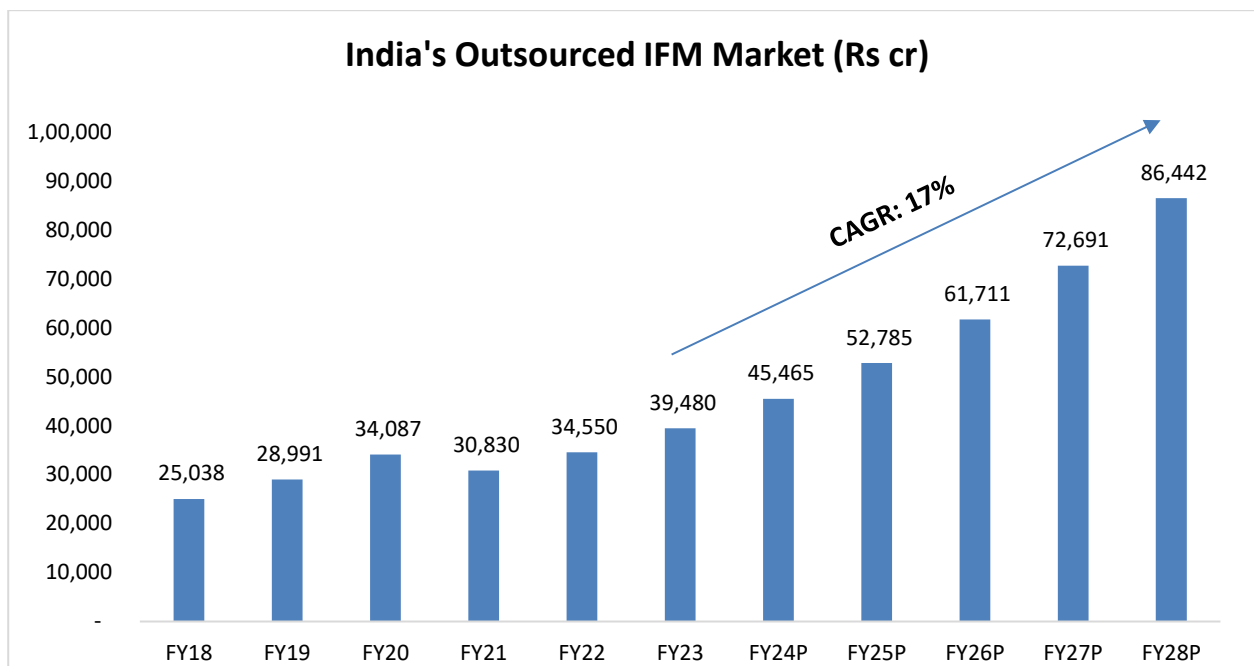
Organization Structure Specific to Integrated Facility Management Services and Service Segments



Source: RHP, SSL Research

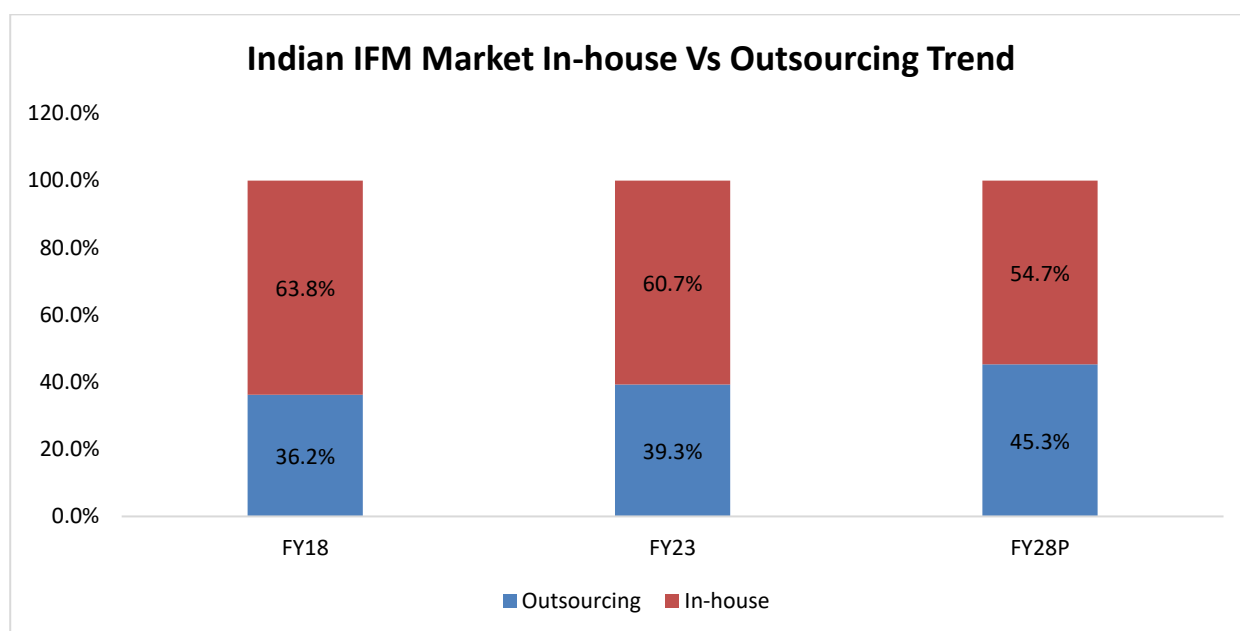
Industry Overview

India's Outsourced IFM Market Revenue Trend for FY18 – FY28



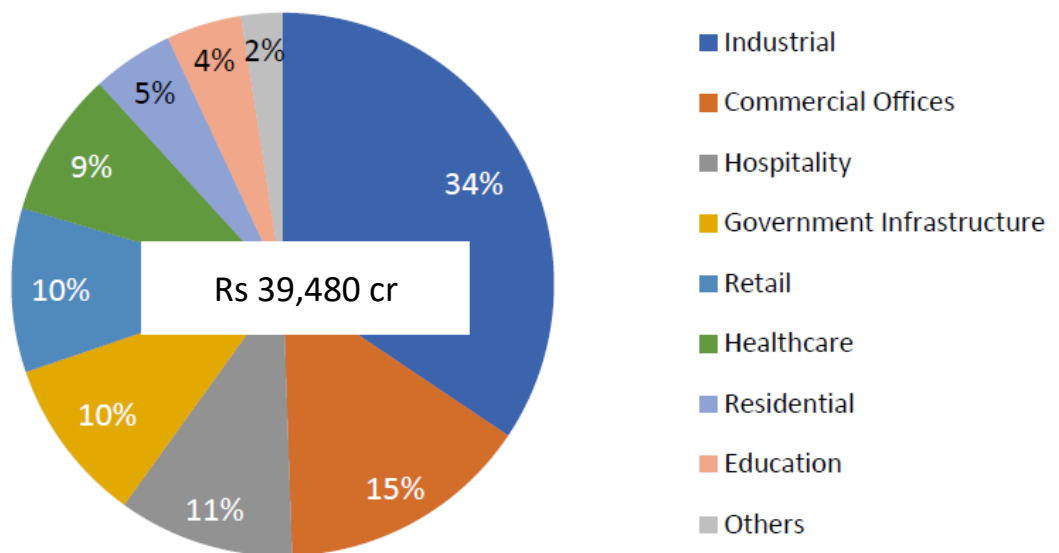
Source: RHP, SSL Research

India's IFM Market In-house Vs Outsourcing Trend for FY18 – FY28



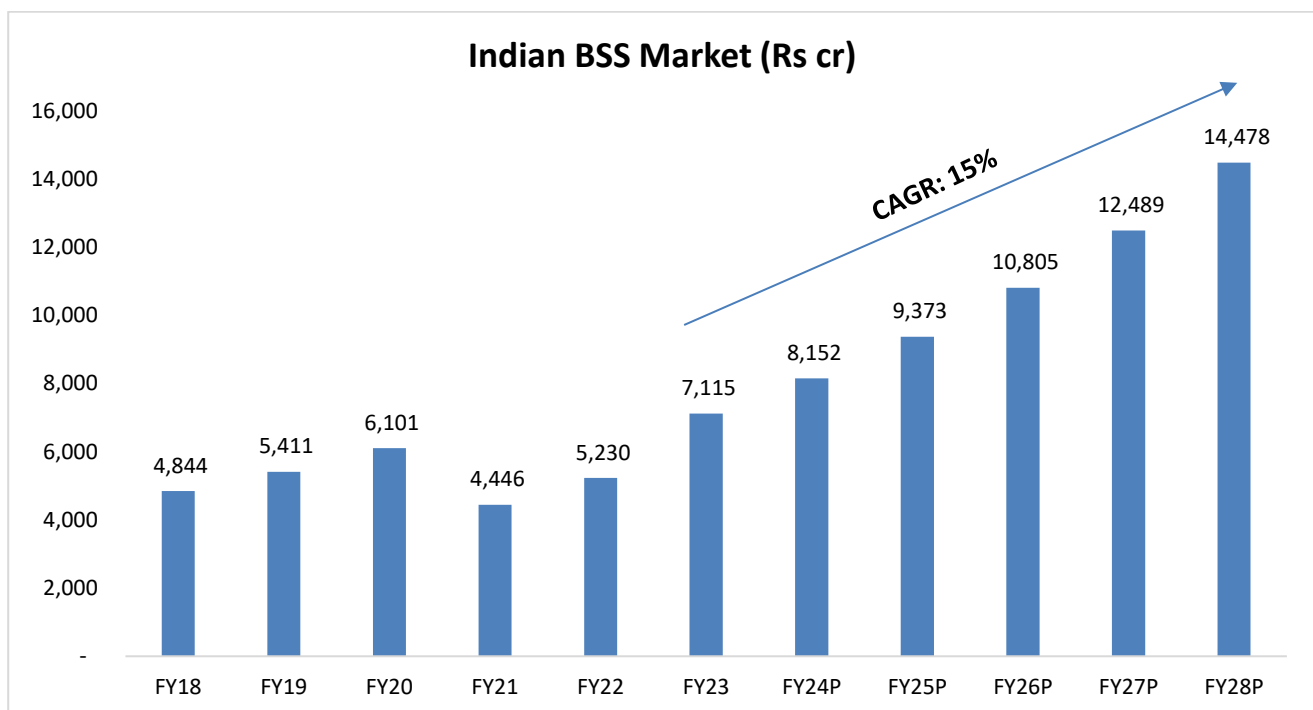
Source: RHP, SSL Research

India's IFM Market Breakdown by End User Segments for FY23



Source: RHP, SSL Research

Indian BSS Market for FY18 – FY28



Source: RHP, SSL Research

Financial Snapshot

Updater Services Limited			
Particulars (Rs cr)	FY21	FY22	FY23
Net Sales	1,210.0	1,483.6	2,098.9
Total Income	1,216.4	1,497.9	2,112.1
EBIDTA	66.1	78.2	92.6
Adj. EBITDA*	72.3	108.7	145.0
EBIT	55.2	70.0	62.7
Adj. EBIT**	57.3	92.2	108.0
PAT	47.6	57.4	34.6
Equity Share Capital	52.8	52.8	53.0
No of Equity Shares (cr)	5.3	5.3	5.3
Cash and Bank	63.8	71.0	165.1
Debt	11.6	58.7	176.5
Net worth	285.3	340.4	380.9
Face Value (Rs)	10.0	10.0	10.0
EPS (Rs)	9.0	10.9	6.5
BV per share (Rs)	54.0	64.5	71.9
Debt/Equity (x)	0.0	0.2	0.5
Net Debt/Equity (x)	-0.2	-0.0	0.0
EBITDA Margins (%)	5.5	5.3	4.4
Adj. EBITDA Margin (%)***	6.0	7.3	6.9
Net Margins (%)	3.9	3.9	1.6
ROE (%)	16.7	18.3	9.6
ROCE (%)	19.3	21.8	14.4
Adj. ROCE (%)****	23.4	26.6	24.4

* Adjusted EBITDA = EBITDA + Fair value changes in liability payable/paid to promoters of acquired subsidiary + Employee stock option expense - Liability payable to promoters of acquired subsidiary no longer required written back.

** Adjusted EBIT = Adjusted EBITDA - Depreciation & amortization

***Adjusted EBITDA Margin (%) = Adjusted EBITDA / Total Income

**** Adjusted ROCE % = Adjusted EBIT / Capital Employed as at the end of year. Capital Employed is calculated as summation of Total Shareholder's Equity + Long term borrowings + Short term borrowings + lease liabilities - Cash & Cash Equivalent - Bank Balance other than cash and cash equivalents

	FY21	FY22	FY23
Debtor's days	81	85	74
Inventory days	58	17	7
Creditor's days	368	124	83
Working Capital Days	-229	-21	-2

	FY21	FY22	FY23
Cash flow from Operating Activities	128.5	31.1	114.8
Cash flow from Investing Activities	-16.5	-47.2	-153.0
Cash flow from Financing Activities	-84.7	28.8	95.6
Free Cash Flow	124.2	17.6	63.2

Source: RHP, SSL Research

Peer Comparison

	Updater Services Ltd.	Qness Corp Ltd	SIS Ltd.	Team Lease Services Ltd.
CMP	300.0	423.0	424.0	2,510.0
Sales (Rs cr)	2,098.9	17,158.0	11,346.0	7,870.0
EBITDA (Rs cr)	92.6	589.0	492.0	122.0
Net Profit (Rs cr)	34.6	223.0	346.0	122.0
M.Cap (Rs Cr)	2,001.1	6,268.0	6,183.0	4,292.0
EBITDA Margin (%)	4.4	3.4	4.3	1.6
Net Margin (%)	1.6	1.3	3.0	1.6
PE(x)	57.8	38.7	17.5	38.2
EV/EBITDA	21.7	10.5	14.1	32.6
EV/Adj. EBITDA*	13.9	-	-	-
RoE (%)	9.6	7.4	15.6	14.4
RoCE (%)	14.4	9.4	10.6	13.9
Adj ROCE(%)**	24.4	-	-	-

(Source: RHP, SSL Research)

The data is based on FY23 financial data, For Updater Services Limited the Market cap, PE(x), EV/EBITDA and EV/Adj. EBITDA are calculated on post-issue equity share capital based on the upper price band.

** EV/Adj. EBITDA* = (Post issue market cap at upper price band + FY23 Gross Debt - Cash)/FY23 Adjusted EBITDA*

*** Adjusted ROCE % = Adjusted EBIT / Capital Employed as at the end of year. Capital Employed is calculated as summation of Total Shareholder's Equity + Long term borrowings + Short term borrowings + lease liabilities - Cash & Cash Equivalent - Bank Balance other than cash and cash equivalents*

CMP as on 22nd September'23 for all the peer companies

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